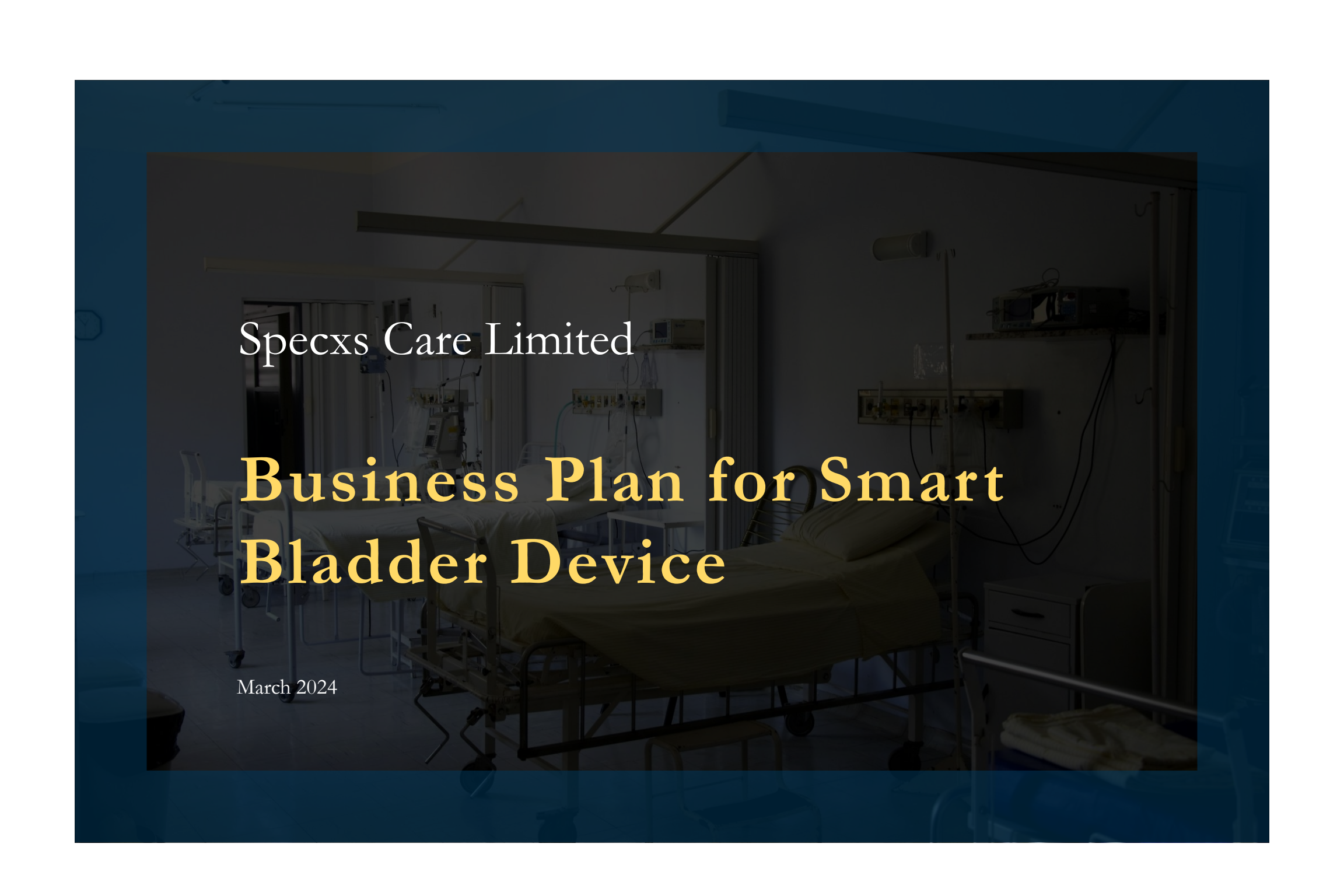


The background image is a photograph of a hospital room, dimly lit. It features a patient bed with white linens, medical equipment like monitors and IV stands, and a blue overlay that covers the entire image. The text is overlaid on the left side of the image.

Specxs Care Limited

Business Plan for Smart Bladder Device

March 2024



01 Introduction ▪ Background on Specxs Care Limited. ▪ Operating framework	02 Market analysis ▪ Market situation in the healthcare sector. ▪ The healthcare industry value chain. ▪ Market trends and growth drivers.	03 Strategy & Operating Plan ▪ Local demand and supply situation ▪ The market environment ▪ Legal and regulatory environment ▪ Key success factors	04 Financial plan and risk analysis ▪ Financial Projections ▪ Risks and issues	05 Implementation and roadmap ▪ Conclusion ▪ Recommendation
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Introduction

01



The Context

Over 200 million people are currently suffering from urinary incontinence, which is especially common in women. In Nigeria, there are over 43 million people suffering from this condition.

The Problem

- Urinary incontinence represents a widespread and often overlooked health issue affecting a significant portion of the population, particularly in Nigeria, the most populous country in Africa with over 215 million inhabitants.
- Research indicates that approximately 77% of women in Nigeria experience symptoms of urinary incontinence, indicating a pervasive and concerning prevalence within the demographic.



Our Solution

We are currently leveraging Artificial Intelligence and cutting-edge biomedical technology to design an advanced medical device – **SMART BLADDER** to treat urinary incontinence.



Overview of Specxs Care Ltd

Specxs Care Limited is an indigenous company pioneering digital healthcare and innovation

ABOUT	MISSION	CORE VALUES	Product
Specxs Care Limited is an indigenous pioneering digital healthcare and innovation company that leverages Artificial Intelligence and cutting-edge biomedical technology to design advanced medical devices and develop transformative healthcare systems. Proudly rooted in Jigawa State, Specxs Care was born from a deep desire to revolutionize healthcare, expand universal health coverage and ensure affordable healthcare services in the state and across Nigeria.	Specxs Care Ltd is driven by a mission to become a leading biomedical company in Nigeria. Through innovation, dedication, and collaboration, we aim to provide holistic solutions that not only fulfill the requirements of our clients but also contribute positively to the communities we serve and the environment we cherish.	Specxs Care Limited is guided by five (5) core principles: • Adaptability: We thrive in diverse environments, adapting our skills to various industries. • Integrity: We are transparent and honest in all our operations. • Innovation: We embrace innovation as the key to sustained growth and relevance. • Sustainability: We champion sustainable practices that reflect our responsibility. • Craftmanship: We guarantee top-quality in all endeavors.	Specxs Care Limited is at advanced stage of developing an advanced medical device – SMART BLADDER for the treatment of urinary incontinence.

Market Analysis

02

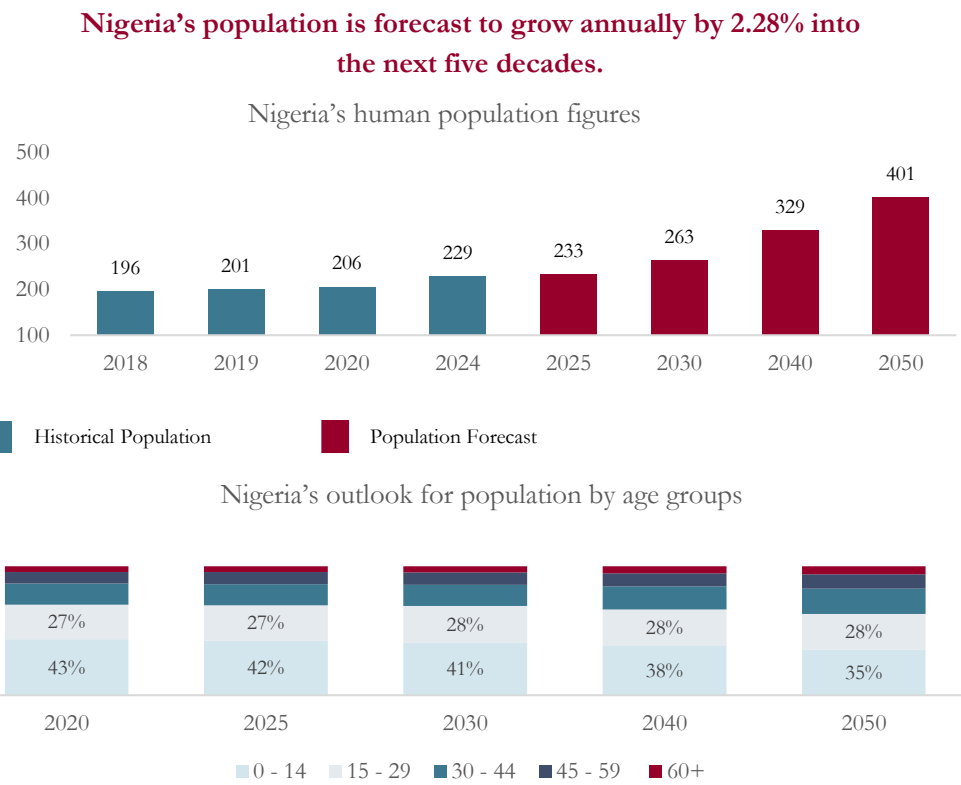
Nigeria’s Socio-economic Performance

The contribution of the private sector to the Nigerian healthcare industry is increasing. With rising levels of disposable income among some segments of society and the limited supply of public hospitals that are overstretched and under-funded, there is greater demand for private coverage.

137th Infant mortality rank amongst 140 countries	54% Nigeria’s primary net enrollment ratio	53% Proportion of infant mortality and maternal deaths due to malnutrition
52% Years of life expectancy	10mn School age children that are out of school	24% Proportion of children under the age of 5 who are underweight
59% Proportion of births attended by skilled health personnel	63% Children in rural areas who cannot read	17.6mn Number of unemployed/underemployed youths in Nigeria

Macroeconomic Analysis

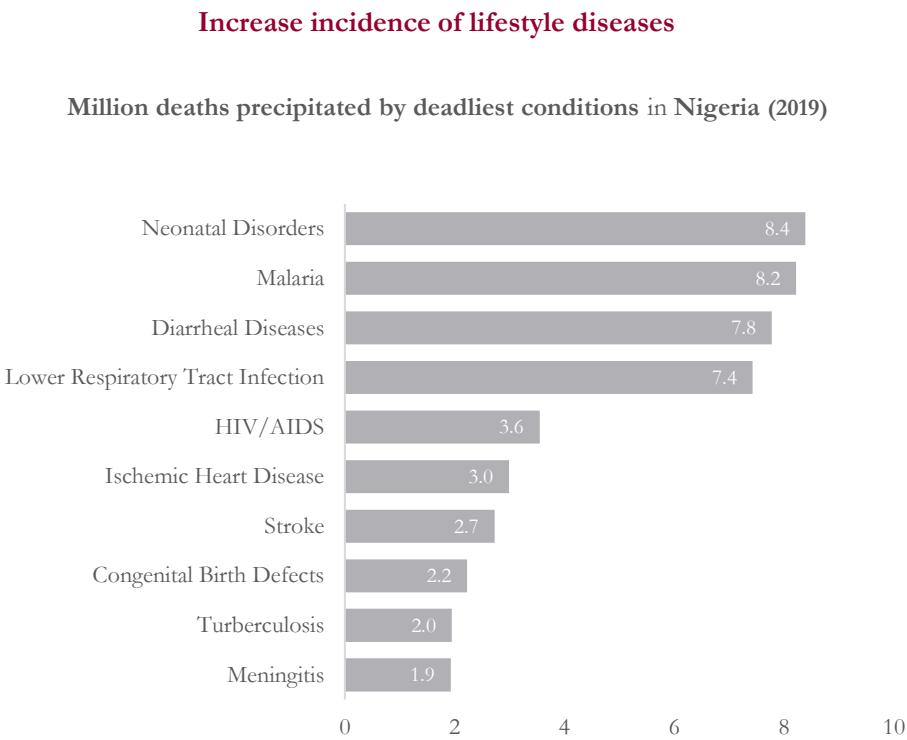
Demand for healthcare services is expected to increase due to population growth and discovery of nascent diseases.



Source: UN population division

Women’s population forecast growth depicts more demand for the healthcare sector services especially hospitals focused on women and children.

The addressable market (young population) for healthcare services in the coming years represents 50% -55% of the total population, and this is expected to be maintained till 2050.



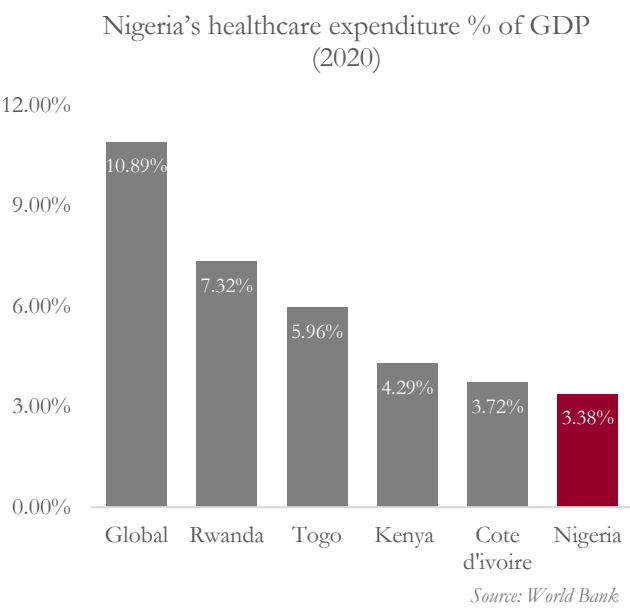
Source: World Bank

The high incidence of terminal illness indicates opportunities for healthcare providers with advanced laboratories and medical equipment to respond to the shortage of personnel and facilities in Nigeria.

Macroeconomic Analysis

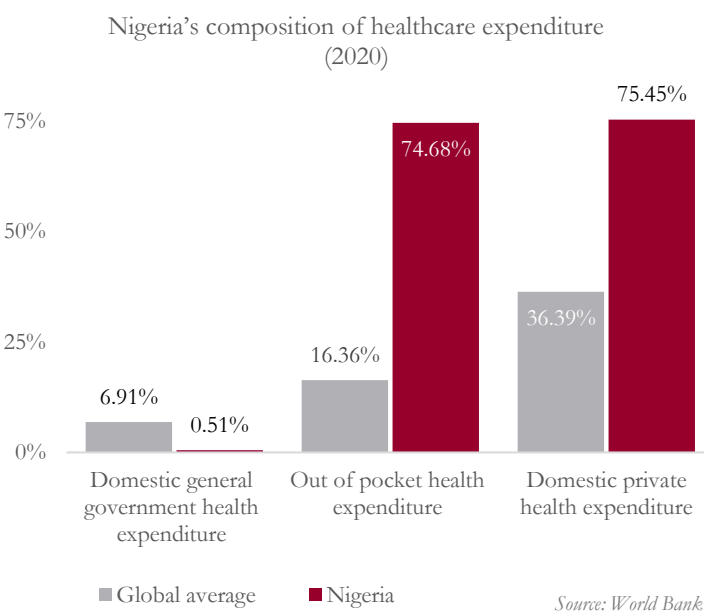
Continuous growth in GDP per Capita and high healthcare expenditure by individuals implies a good economic climate for private hospitals.

Currently, the Nigerian healthcare market is under penetrated



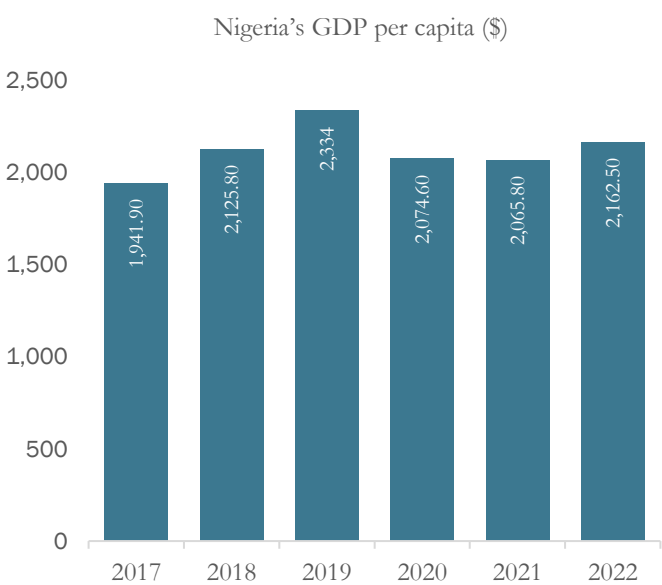
A low healthcare expenditure to GDP depicts that Nigeria's under penetrated healthcare industry still has opportunities for healthcare businesses to take advantage of.

Nigerians spend out of their pockets to cater for healthcare expenses



The high out of pocket healthcare expenditure in Nigeria depicts citizens readiness to spend on healthcare services. Consequently, this denotes a thriving market for private healthcare service businesses in Nigeria.

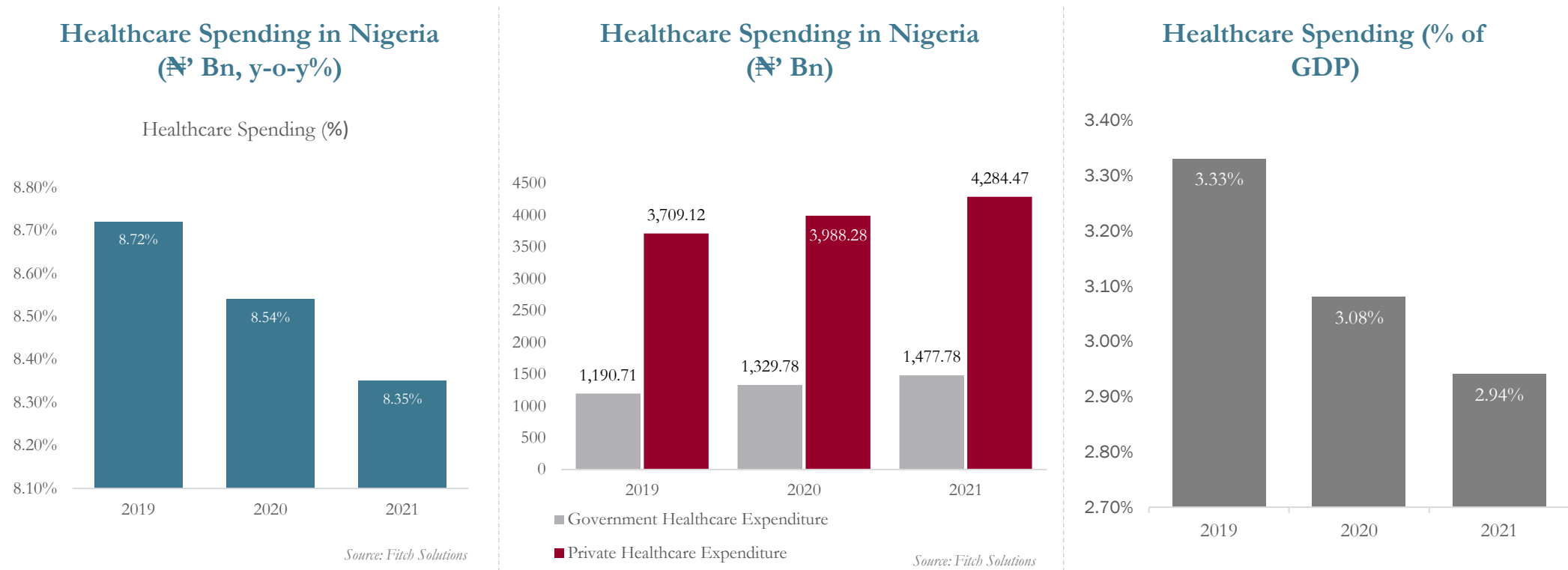
GDP Per Capita is projected to rise in the medium and long term



A rising outlook for GDP per capita indicates that ability of people to afford medical care will continue to grow in the near and midterm.

Macroeconomic Analysis

In Nigeria, the healthcare expenditure is predicted to be growing at a CAGR of 8.35% Y.O.Y with the healthcare spending estimated to make up about 2.94% of the country’s GDP.

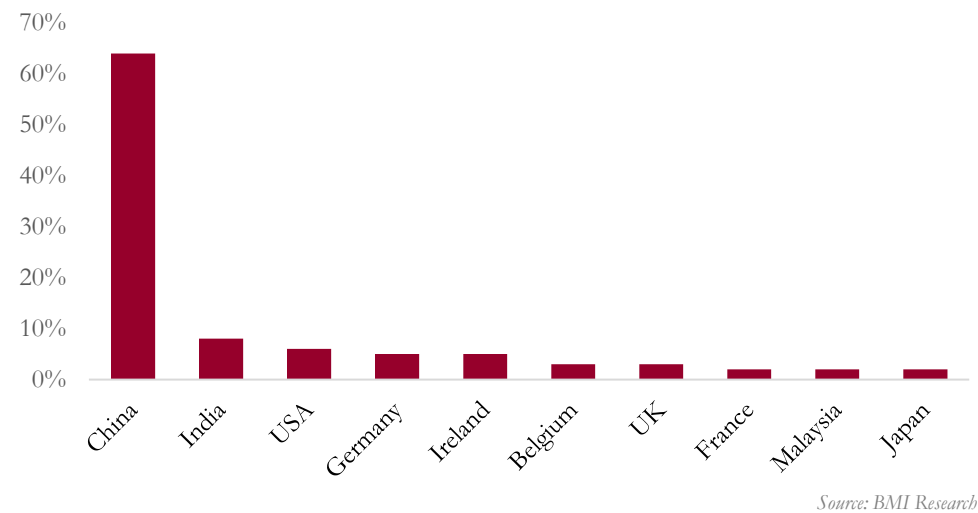


According to World Bank, Nigeria’s public spending on health care amounts to 3.75% of its \$495 billion GDP. While the government is expected to spend ₦1,477 billion by 2021, the private sector will spend ₦4,284 billion in the same period. This is up from ₦1,190 billion and ₦3,709 billion respectively in 2019.

Nigeria Medical Devices Market

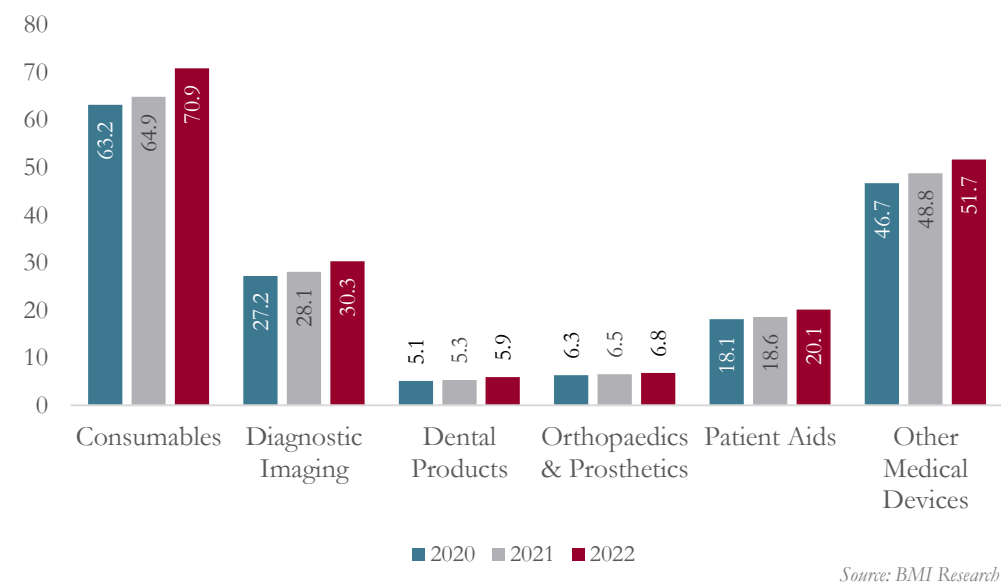
Nigeria is largely dependent on imports for medical devices. About 99% of the country’s medical devices and equipment are imported from foreign countries

Top 10 Medical Devices Suppliers to the Nigerian Market



- Over the years, China has been the leading supplier of medical devices to the Nigerian market accounting for over 64% of the volume sold to the Nigerian market by the top ten suppliers.
- Over the past 10 years, Chinese imports have been increasing at a high year-on-year rate. Chinese imports peaked in 2014 when over 75, 000 medical devices were sold in Nigeria.

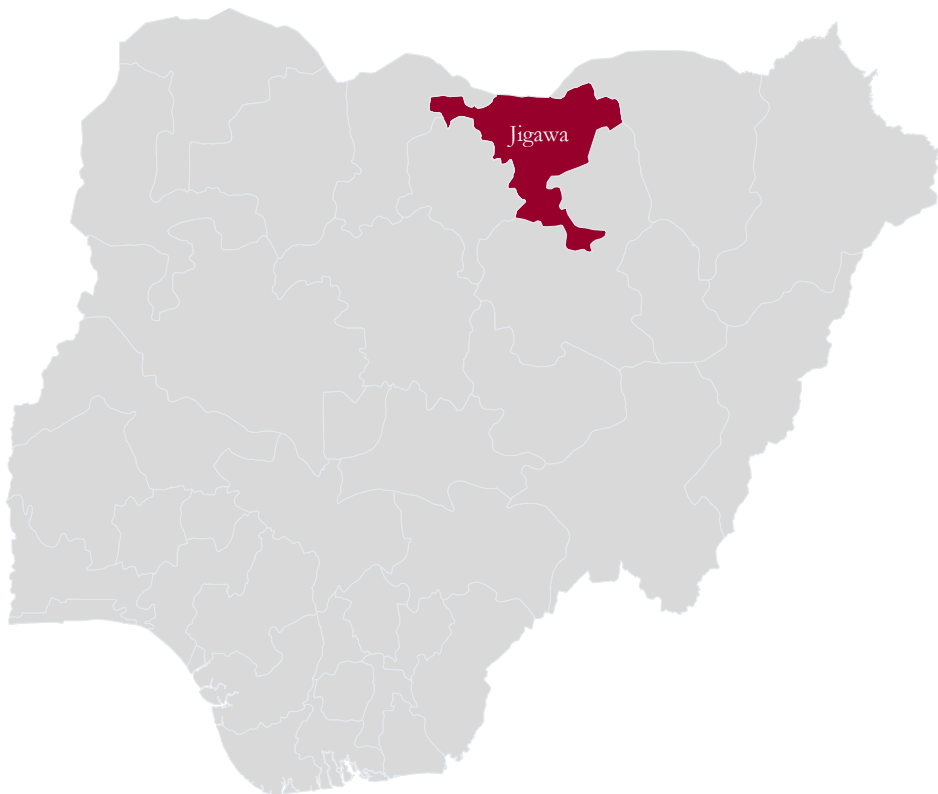
Nigerian Medical Device Product Category



- The medical devices segment in Nigeria is sub-divided into consumables, diagnostic imaging, dental products, orthopedics & prosthetics, patient aids, and other medical devices.
- With a projected market growth, the diagnostic imaging category is expected to offer less opportunities than the other categories.

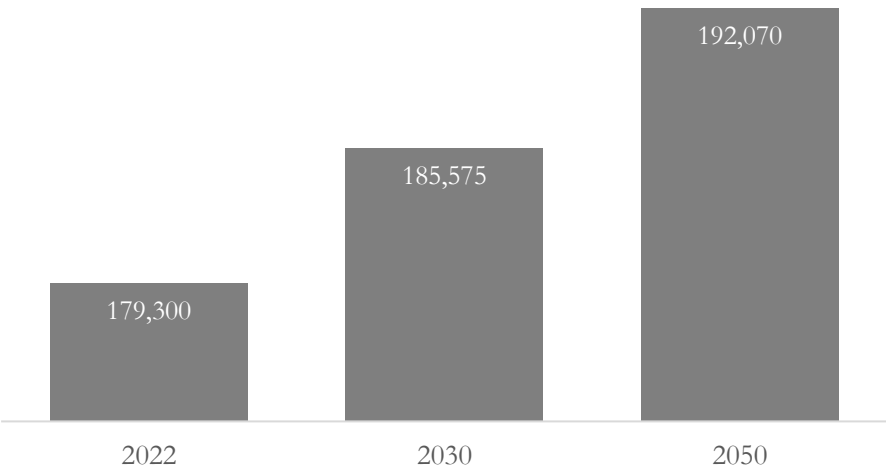
Demographic Trend in Specxs Care Ltd Environs

Private healthcare providers in Jigawa state are well-positioned to benefit from favorable demographic trends.



Jigawa State has 27 local government areas and a population of over 7.5 million people in 2022, which is 3.27% of Nigeria’s population. Its population has an annual growth rate of 3.5%.

From 2016 to 2022, the population in the Hadejia local government area has grown by an annual rate of 3.5%.



Source: World Bank, City Population

Specxs Care Ltd has its location within Hadejia local government area. The areas’ population is expected to increase by 7% by 2050. which could translate to increase demand for the healthcare services in the neighborhoods.

Gaps in the Healthcare Sector

Some of the gaps that exists in the Nigerian healthcare sector includes;

Workforce Challenges

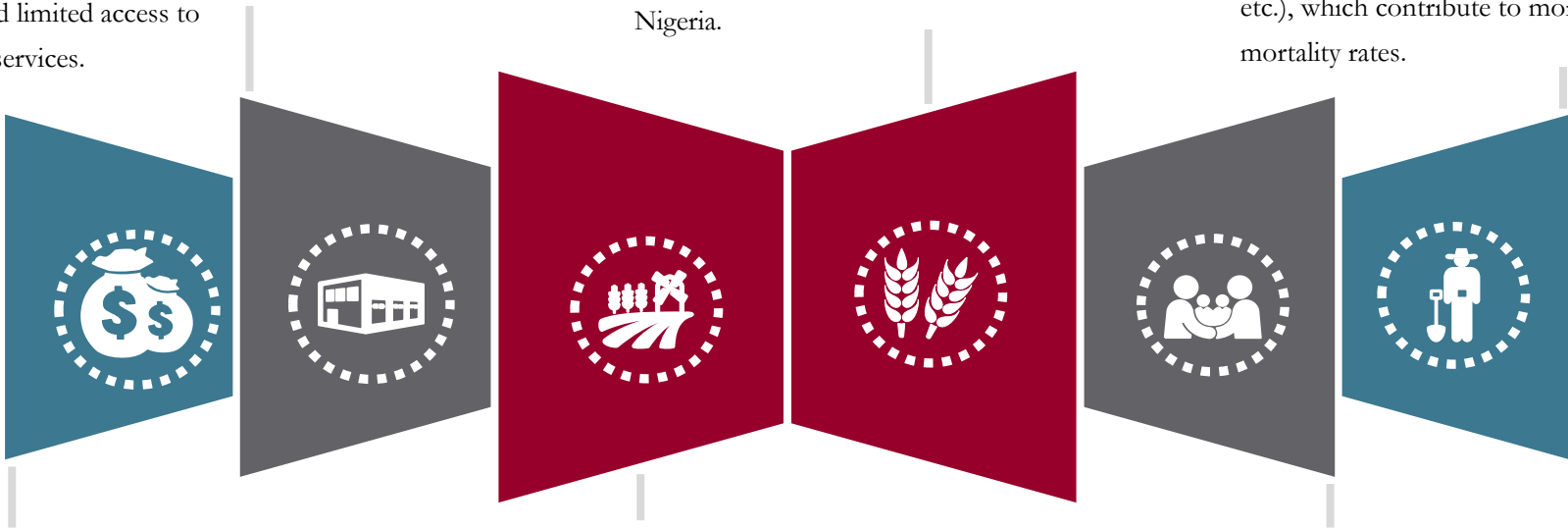
- Nigeria faces a shortage of trained healthcare professionals which has resulted in understaffed healthcare facilities and limited access to healthcare services.

Poor Health Information Systems

- There is a lack of comprehensive health information systems for collecting, analyzing, and utilizing health data in Nigeria.

Public Health Challenges

- Nigeria faces significant health challenges, including infectious diseases and non-communicable diseases (diabetes, hypertension, etc.), which contribute to morbidity and mortality rates.



Infrastructure Deficiencies

- Many parts of Nigeria lack adequate healthcare facilities thereby resulting in limited access to healthcare services, especially in rural and underserved areas.

Financing Constraints

- Majority of Nigerians lack access to health insurance coverage, forcing them to pay out-of-pocket for healthcare services, which can be financially burdensome, especially for low-income individuals and families.

Socioeconomic and Cultural Factors

- Poverty and sociocultural disparities have impacted individuals access to healthcare services, nutrition, sanitation, and living conditions, contributing to poor health outcomes and widening health inequities.

Demand Drivers

The country’s increasing population and availability of healthcare financing options are major drivers of the Nigerian healthcare sector.



Demographics

Nigeria and Jigawa’s growing population, coupled with an aging demographic, may create opportunities for Specxs Care to meet the healthcare needs of a larger consumer base.



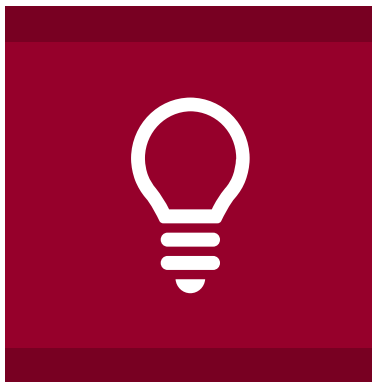
Healthcare Financing

The availability of health insurance coverage and healthcare financing options can impact consumer purchasing decisions for medical devices.



Technological Advancement

Technological advancements in biomedical engineering, Artificial Intelligence, and medical device manufacturing can drive demand for innovative healthcare solutions.



Competition

Competition within the healthcare industry, including the availability of alternative medical devices and treatments, can impact demand for Specxs Care's products.

Challenges in the Nigerian Medical Device Market

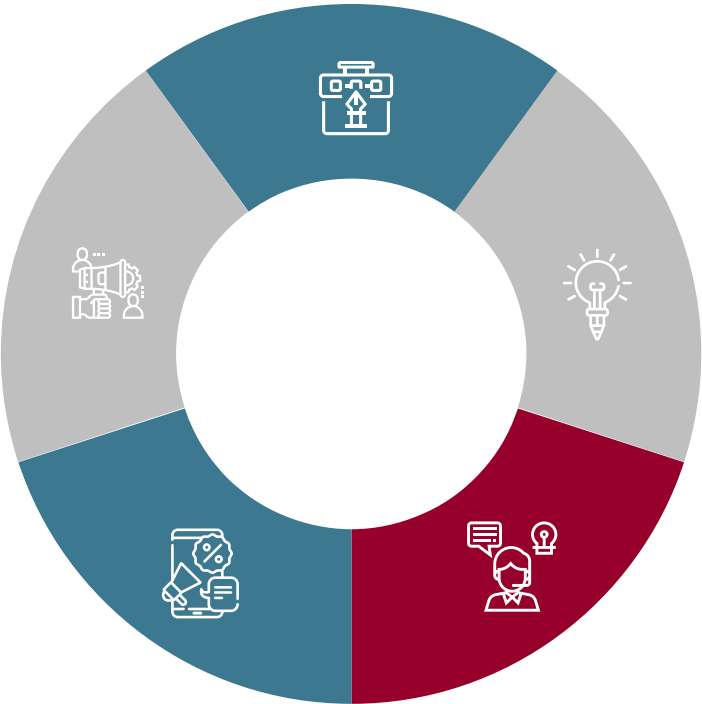
Most private clinics cannot afford new equipment and therefore seek refurbished ones as a means of augmenting available facilities.

Importation Cost

There is a high importation cost which has been triggered by the import duties charged by the Government and the inefficient operations of the Port.

After-sales Support

There has been issues with after-sales support which has been occasioned by the poor scale of biomedical engineers, and challenges in getting spare parts.



Power Supply

There exist an irregularity of power supply in the country to run the machines/equipment.

Regulatory Environment

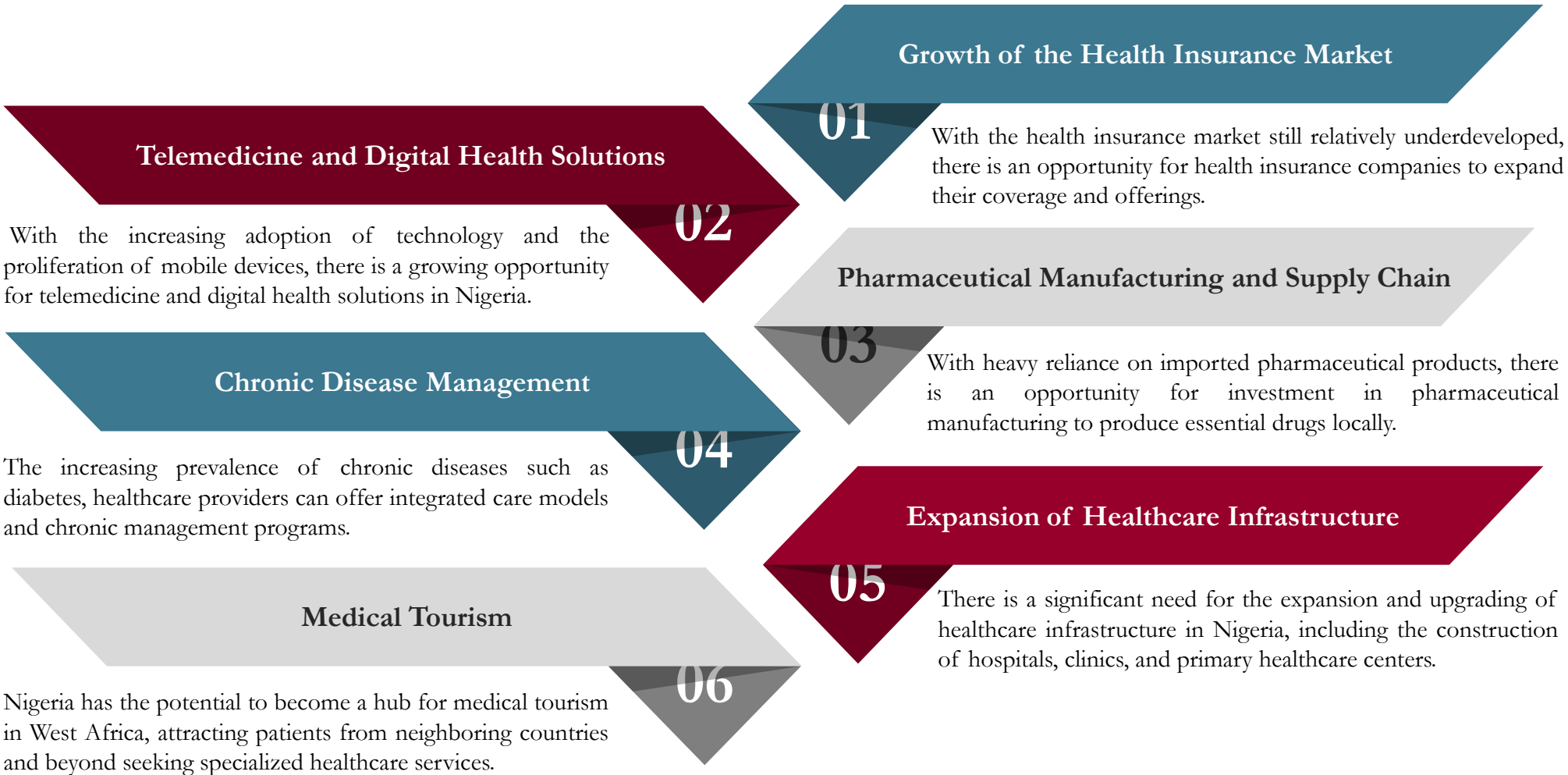
There is a weak regulatory environment for medical devices in Nigeria.

Demand Financing

There is a poor demand financing in this market which is due to the limited scale and high cost of the operations in Nigerian hospitals.

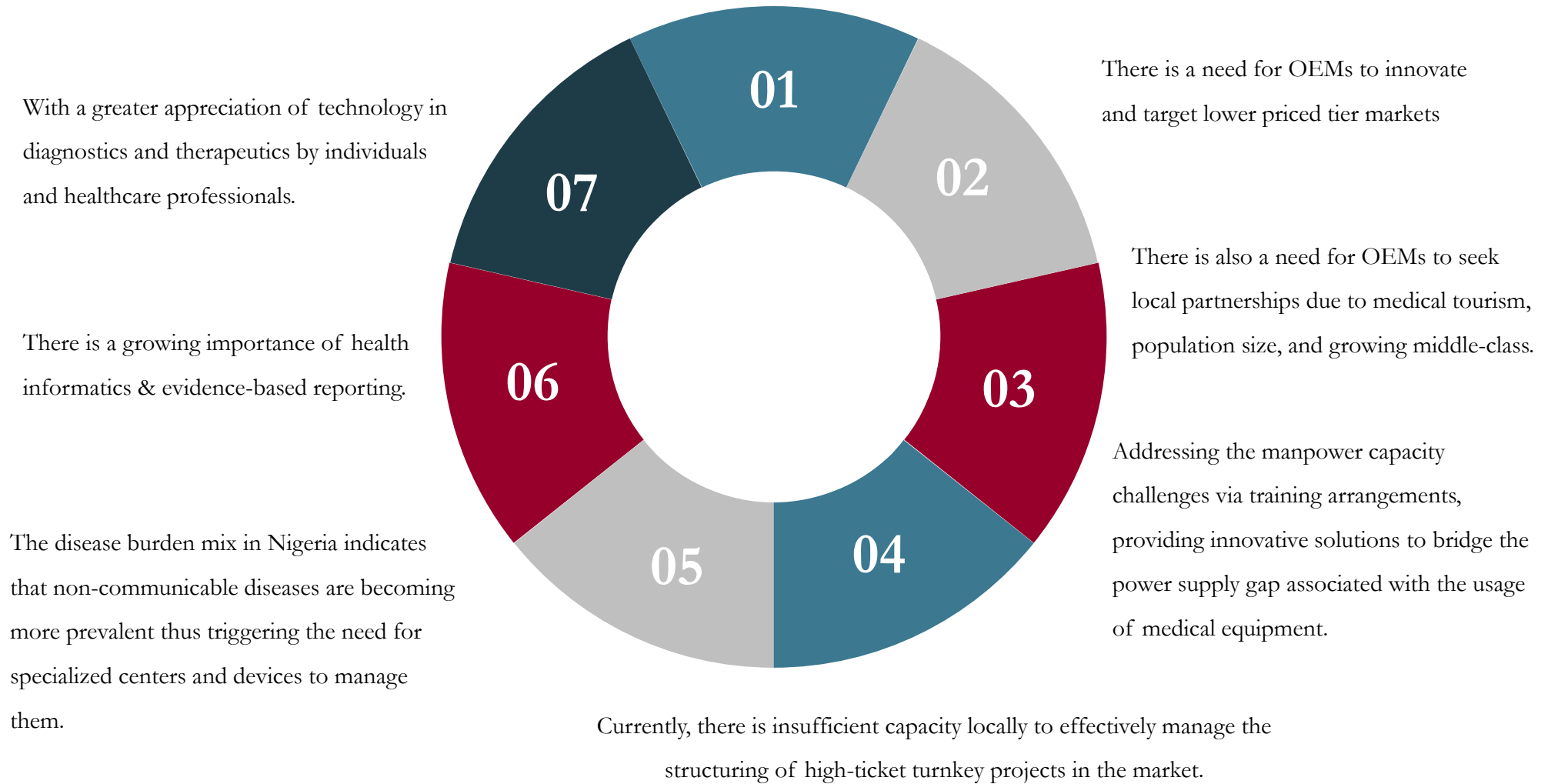
Opportunities that Exist in the Healthcare Sector

There are several opportunities that still exist in the Nigerian healthcare sector for stakeholders to contribute to in improving healthcare delivery and promoting public health.



Opportunities that Exist in the Nigerian Medical Device Market

There are several opportunities that still exist in the Nigerian medical device market for stakeholders to contribute to in improving healthcare delivery and promoting public health.



Policies and Regulations in the Healthcare Sector

These policies play a crucial role in shaping the healthcare sector and ensuring that the services are affordable and accessible to all Nigerians.

National Health Policy

This policy outlines the government's objectives and strategies for improving healthcare delivery and emphasizes the importance of providing essential healthcare services and equitable access to healthcare.

National Health Act

The National Health Act establishes the legal framework for the regulation, organization, and financing of healthcare services in Nigeria. It also outlines the rights and responsibilities of patients and healthcare providers.



National Task Shifting and Task Sharing (NTSTS) Policy

This policy seeks to address the growing burden of non-communicable diseases (NCDs) and enhance resource efficiency by leveraging primary healthcare workers.

Health Facility Regulation

These regulations set standards for infrastructure, staffing, equipment, and services provided by hospitals, clinics, and other healthcare facilities to ensure quality and safety for patients.

Government Intervention Policies in the Healthcare Sector

Over the years, the government have created polices for improving the performance of the Nigerian national health system.

The Second National Strategic Health Development Plan (NSHDP II) This policy was approved in February 2017. The policy is aimed at improving the performance of the national health system. It also lays emphasis on primary healthcare as the bedrock of national health system in addition to providing financial risk protection to all Nigerians, particularly poor and vulnerable populations.	The National Health Insurance Scheme (NHIS) The NHIS kicked off in 2005 and has only been able to secure a 5% penetration. The funding allocations over the years have been grossly inadequate and appear to be on the decline. However, there are plans by the Federal Ministry of Health (FMoH) to review and revitalize the scheme for effective coverage.	The Basic Healthcare Provision Fund (BHC PF) The Fund was officially launched on the 11th January 2019 though its implementation had commenced much earlier. The fund will help drive the new targets of increasing access to health facilities, with a specific aim to grow the number of primary health care centers (PHCs).	The National Cancer Control Plan The Federal Ministry of Health has launched a National Cancer Control plan 2018 – 2022 that provides a clear roadmap on how the government will undertake cancer control efforts in the country over a 5-year period and more. Based on reports from the Federal Ministry of Health, the National Cancer Control Plan has a budget of \$258 million.	The CBN Health Sector Intervention Fund The Central Bank of Nigeria (CBN / “the Bank”), introduced the NGN100 billion credit support fund for the healthcare industry. This was done as a proactive measure to cushion the impact of the COVID-19 pandemic on the economy. It is targeted at indigenous pharmaceutical companies, and healthcare providers to support expansion.
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Regulatory Bodies and Agencies

Several regulatory bodies play a role in overseeing and regulating the healthcare industry in Nigeria.



National Health Insurance Scheme (NHIS)

The NHIS was established to provide affordable healthcare services to Nigerians through various health insurance programs. It regulates health maintenance organizations (HMOs) and ensures that enrolled individuals have access to a range of healthcare services at accredited healthcare facilities.



Medical and Dental Council of Nigeria (MDCN)

The MDCN is responsible for regulating the practice of medicine and dentistry in Nigeria. It sets the standards for medical education and training, licenses medical practitioners, and enforces ethical standards and professional conduct among healthcare professionals.



Pharmaceutical Council of Nigeria (PCN)

The PCN regulates the practice of pharmacy and the manufacture, distribution, and sale of pharmaceutical products in Nigeria. It licenses pharmacists and pharmaceutical premises, monitors drug distribution channels, and ensures compliance with pharmaceutical laws and regulations.



National Agency for Food and Drug Administration and Control (NAFDAC)

NAFDAC is responsible for regulating the safety, quality, and efficacy of food, drugs, cosmetics, medical devices, and other related products in Nigeria. It conducts product registration and approval, monitors compliance with regulatory standards, and enforces sanctions for violations of food and drug laws.

Regulatory Bodies and Agencies

Several regulatory bodies play a role in overseeing and regulating the healthcare industry in Nigeria.



State Ministries of Health

Each state in Nigeria has its own Ministry of Health responsible for healthcare delivery, public health programs, and regulatory oversight within the state. State Ministries of Health work in collaboration with the Federal Ministry of Health to implement national health policies and programs at the state level.

Nigeria Centre for Disease Control (NCDC)

The NCDC is the national public health institute responsible for disease surveillance, outbreak detection, and disease control activities in Nigeria. It coordinates disease surveillance and response efforts, conducts public health research, and provides technical support to state and local health authorities.



Federal Ministry of Health (FMoH)

The Federal Ministry of Health is the primary governmental body responsible for formulating health policies, setting standards, and coordinating healthcare services at the national level in Nigeria. It oversees various aspects of healthcare delivery, including disease control, public health programs, and healthcare infrastructure development.



Standards Organization of Nigeria (SON)

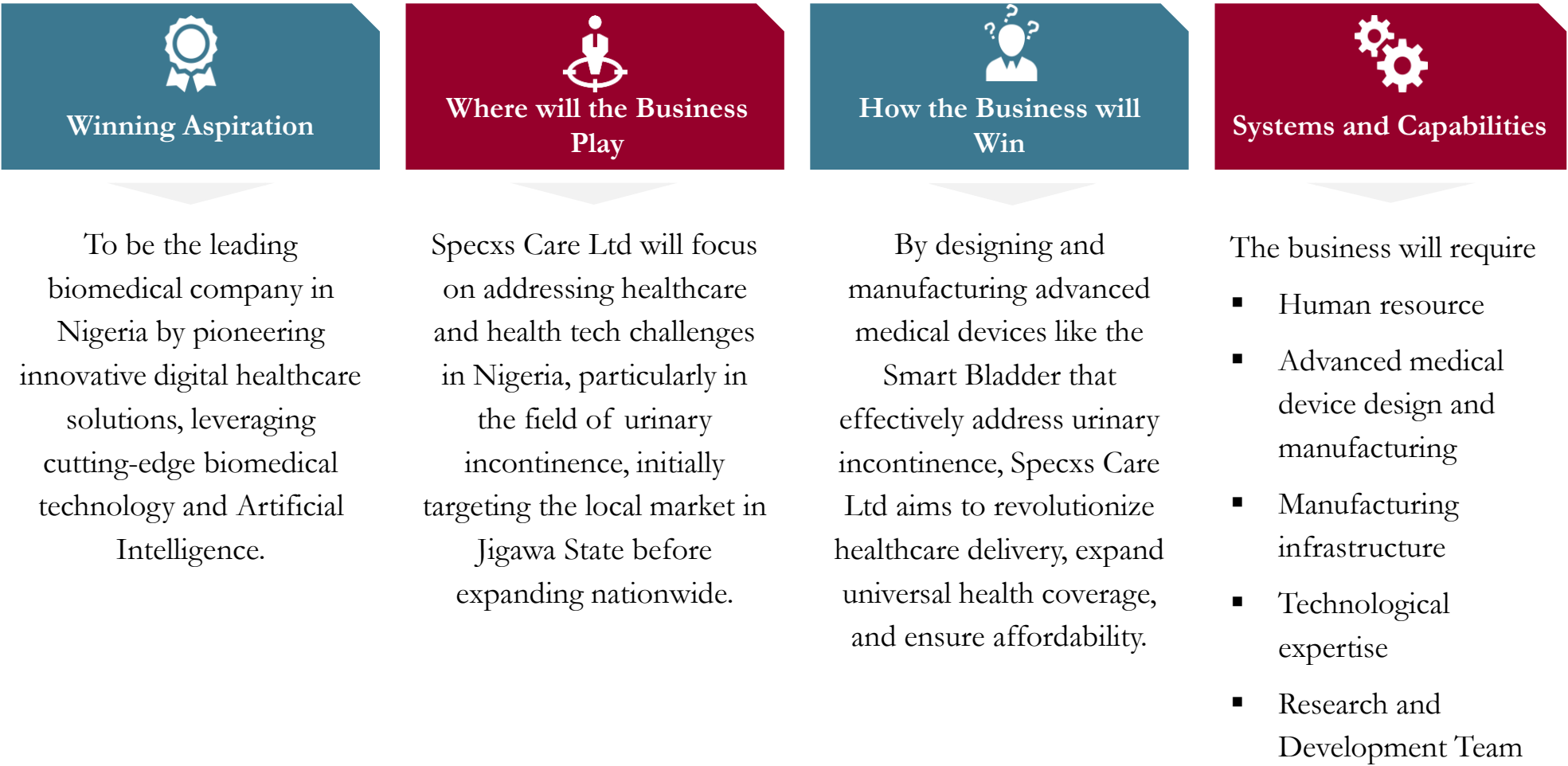
The Standards Organization of Nigeria (SON) is a governmental agency responsible for the development, publication, and enforcement of standards across various sectors in Nigeria. It implements quality assurance programs to ensure the quality, safety, and reliability of products circulating in the Nigerian market.

Strategy and Operating Plan

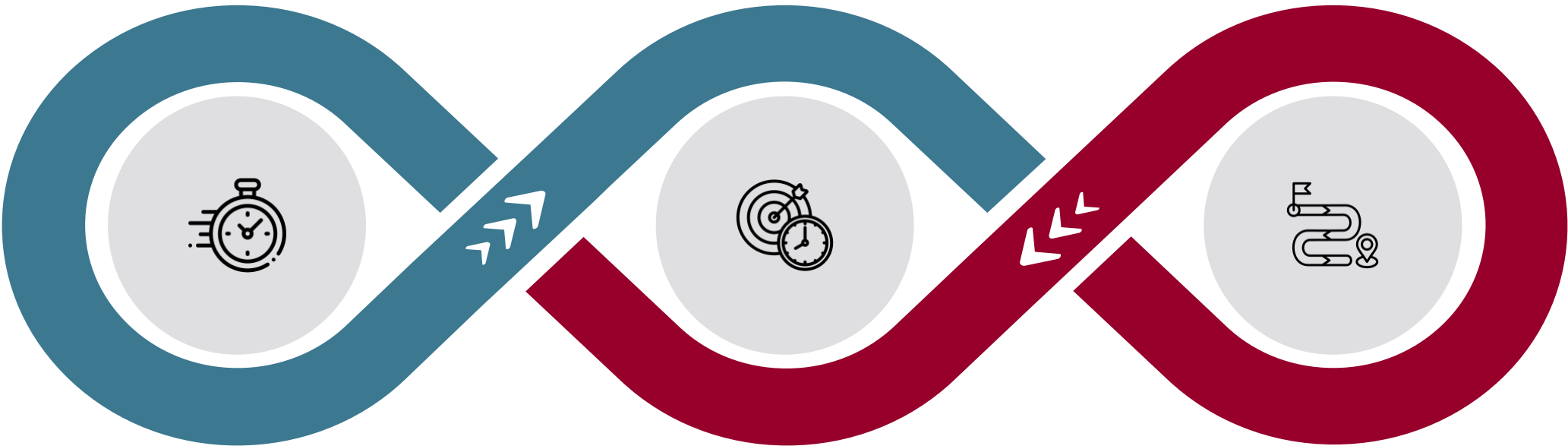
03

Corporate Strategy

Specxs Care Ltd corporate strategy will provide its competitive edge over other players in the market.



Specxs Care Ltd will seek to achieve the following business objectives over the short, medium and long-term.



Short Term

In the early phases of the company, Specxs Care Ltd will be focused on getting startup capital and starting its small-scale manufacturing.

Medium Term

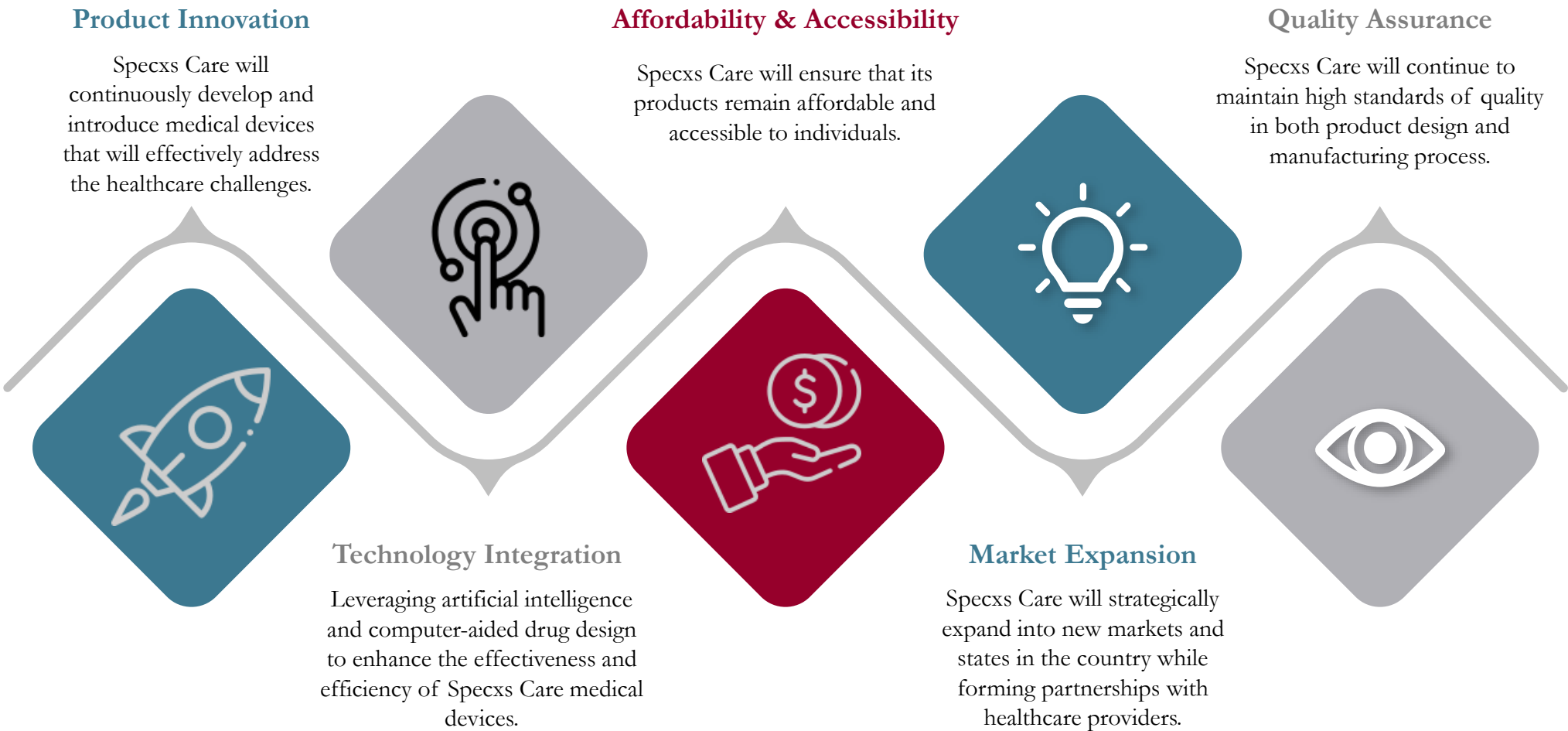
In the medium term, Specxs Care Ltd will be focused on expanding its market reach through partnerships across the business operations.

Long Term

The major goal and aim, its driving force, of Specxs Care Ltd is to become a full-flex biomedical and research company.

Key Success Factors

Specxs Care Ltd corporate strategy will provide its competitive edge over other players in the market.



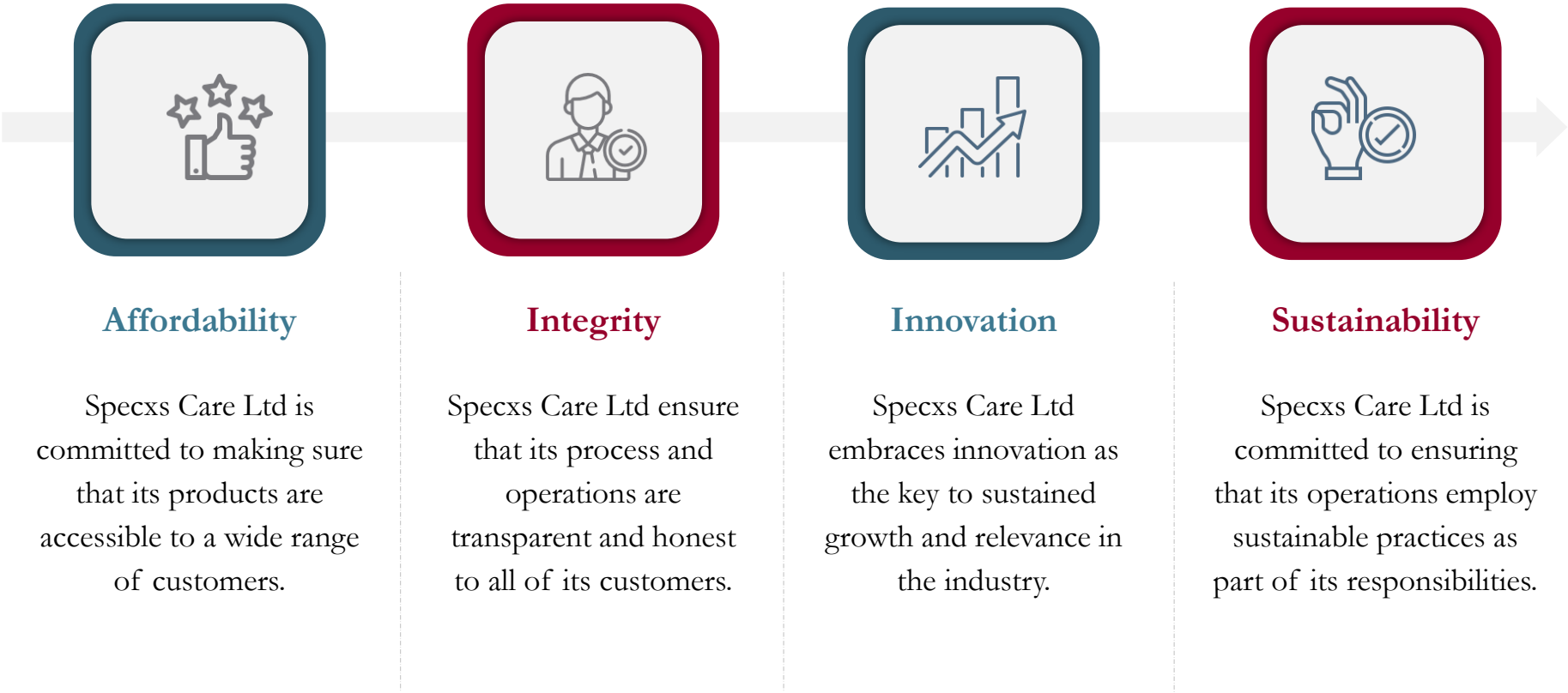
Business Model

Specxs Care Ltd business model shows the company’s capacity to provide value to its stakeholders and achieve its overall long-term objectives.

Key Activities - Production of advanced medical devices, including the Smart Bladder - Continuous research and development in medical device design and technology - Aiding healthcare professional and end-users	Key Resources - Physical location. - Knowledge capital - Manufacturing facilities - Funding. - Human resource.	Value Proposition - Affordability - Integrity - Innovation - Sustainability	Customer Segments The target customers of the business include; - Healthcare facilities (hospitals, clinics, etc.) - Healthcare professionals - Government agencies
Revenue Streams - Product sale - Service fee from engagements such as training and maintenance.	Cost Structure The cost structure includes: - Pre-operational cost - Manufacturing cost - Operational cost - Research and Development	Key Partners Key strategic partners include: - Government agencies. - Healthcare providers - Research institutions	Marketing Channels - Direct marketing. - Industry events - Social media - Professional networks

Value Proposition

Specxs Care's value proposition revolves around delivering innovative biomedical solutions that address pressing healthcare needs in Nigeria.



Marketing and Promotions Strategy

Specxs Care Ltd will leverage marketing channels to raise brand awareness among prospective customers.

Content marketing	Trade Shows and Exhibitions	Targeted Advertising	Product Demonstration and Workshops
- At Specxs Care Ltd, we will create informative and engaging content such as blog posts and case studies that demonstrate expertise in biomedical innovation and its commitment to improving healthcare outcomes. - As part of our comprehensive marketing strategy, we will share valuable insights, industry trends, and success stories to educate and engage healthcare professionals, patients, and stakeholders.	- Specxs Care will participate in healthcare trade shows, exhibitions, and conferences to showcase its products, network with industry stakeholders, and generate leads. - We will design eye-catching booth displays, product demonstrations, and promotional materials in order to attract attendees and leave a lasting impression.	- Specxs Care will utilize targeted advertising channels such as online platforms (e.g. social media and SEO), healthcare publications, and industry-specific websites to reach healthcare professionals. - Specxs Care will develop compelling ad creatives that highlights its advanced medical devices, innovative technology, and the benefits they offer in addressing healthcare needs.	- Specxs Care will organize product demonstrations, workshops, and training sessions for healthcare professionals to showcase the capabilities and benefits of its medical devices. - We will also collaborate with healthcare institutions, medical schools, and professional associations to host educational events and hands-on training sessions.

SWOT Analysis

This analysis sheds light on Specxs Care's strengths, weaknesses, opportunities, and threats, providing valuable insights into its position within the market.

STRENGTH

- Strong understanding of local healthcare needs and challenges.
- Technological expertise in artificial intelligence, machine learning, and computer-aided drug design
- Compelling value proposition to customers in form of affordability and innovation.



WEAKNESS

- Limited market presence
- High initial capital requirement for manufacturing operations
- Time consuming and costly regulatory approval process
- Competitive labour market in the recruitment and retaining of skilled professionals.



OPPORTUNITY

- There is a growing healthcare market as there's an increase in the demand for advanced medical devices and healthcare solutions.
- Diversified service offerings to address the growing healthcare needs of individuals.



THREAT

- The economic downturns could affect consumer purchasing power and demand for healthcare products and services.
- Delays in obtaining approvals for medical devices from regulatory bodies could impact Specxs Care Ltd ability to launch the product and operate in the industry.



PESTEL Analysis

This analysis provides a comprehensive framework for understanding the external factors that may impact the operations and strategic decisions of Specxs Care, a pioneering biomedical company operating in Nigeria.

P POLITICAL - Political instability or changes in government policies has impacted business operations, including access to funding, regulatory compliance, and market stability. - The country ranks low on the corruption perception index, and this has deterred investors.	E ECONOMIC - According to the Nigerian Economic Summit Group (NESG), Nigeria's GDP is expected to grow at 3.5% in 2024. - To promote improved economic performance, the Central Bank of Nigeria (CBN) has set an inflation target of 21.4% for 2024.	S SOCIAL - Nigeria is the most populous country in Africa with an estimated population of 226 million and an annual average growth rate of 2.5%. - This rapid growth poses a challenge to provide infrastructure, healthcare, and education.	T TECHNOLOGICAL - The healthcare industry has seen positive changes in treatments due to technological advancements in medical devices. - However, due to the shortage of skilled technical professors and stringent regulatory policies, the growth of the industry has been stunted.	L LEGAL The Nigerian legal system is based on common and Islamic law. This has made it confusing and challenging for businesses to navigate the legal procedures, contracts, and disputes regarding intellectual property rights.	E ENVIRONMENTAL Pollution is also an environmental factor that affects businesses in Nigeria. The country is known for its poor air quality, which affects the population's health. Pollution also affects businesses in various ways.
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Financial Projections and Risk analysis

04

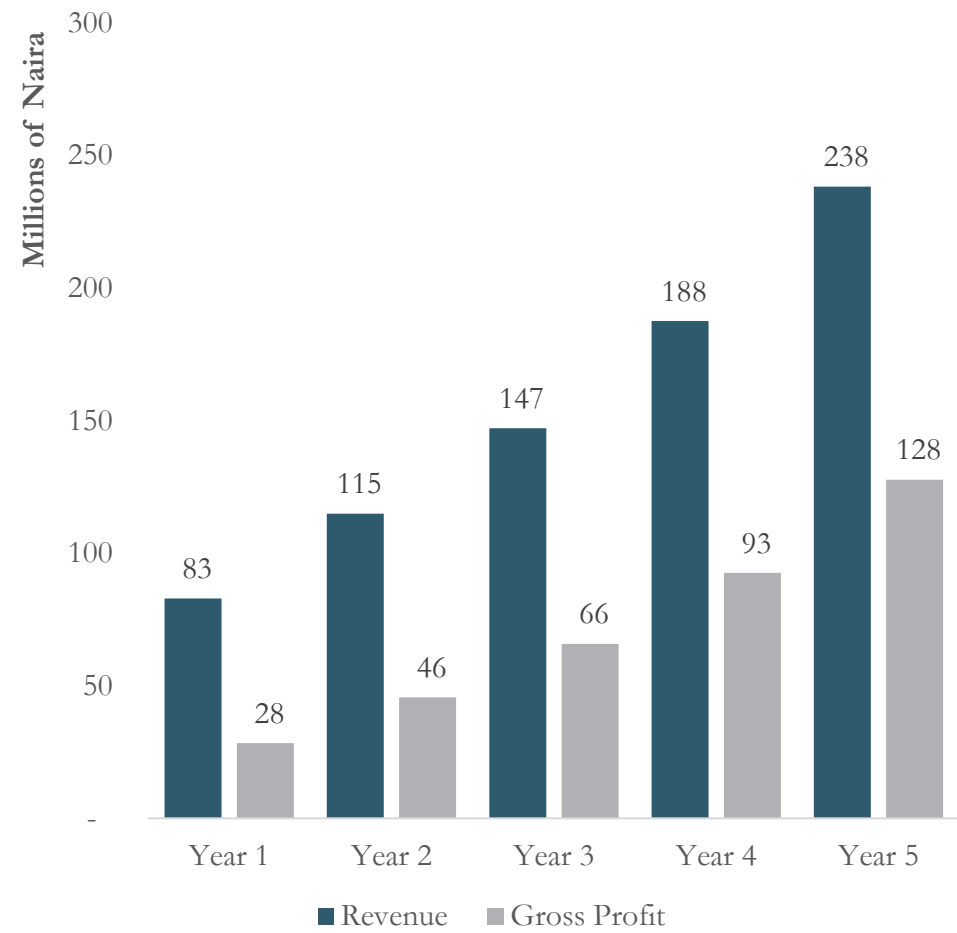


Key Assumptions

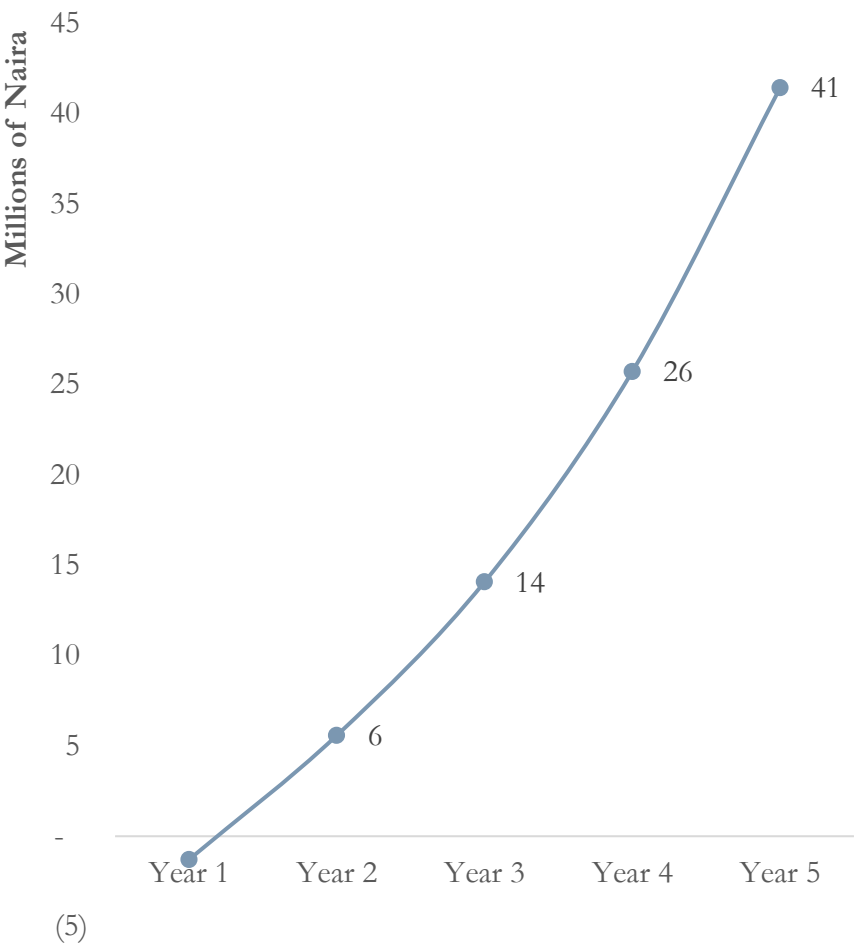
Revenue Assumptions	Year 1	Year 2	Year 3	Year 4	Year 5
Quantity Sold (Units)	23,725	27,375	29,200	31,025	32,850
Selling Price (Naira)	3,500	4,200	5,040	6,048	7,258
Cost of Production Assumptions					
Quantity Produced (Units)	23,725	27,375	29,200	31,025	32,850
Cost per Unit (Naira)	2,300	2,530	2,783	3,061	3,367

Income Statement Highlights

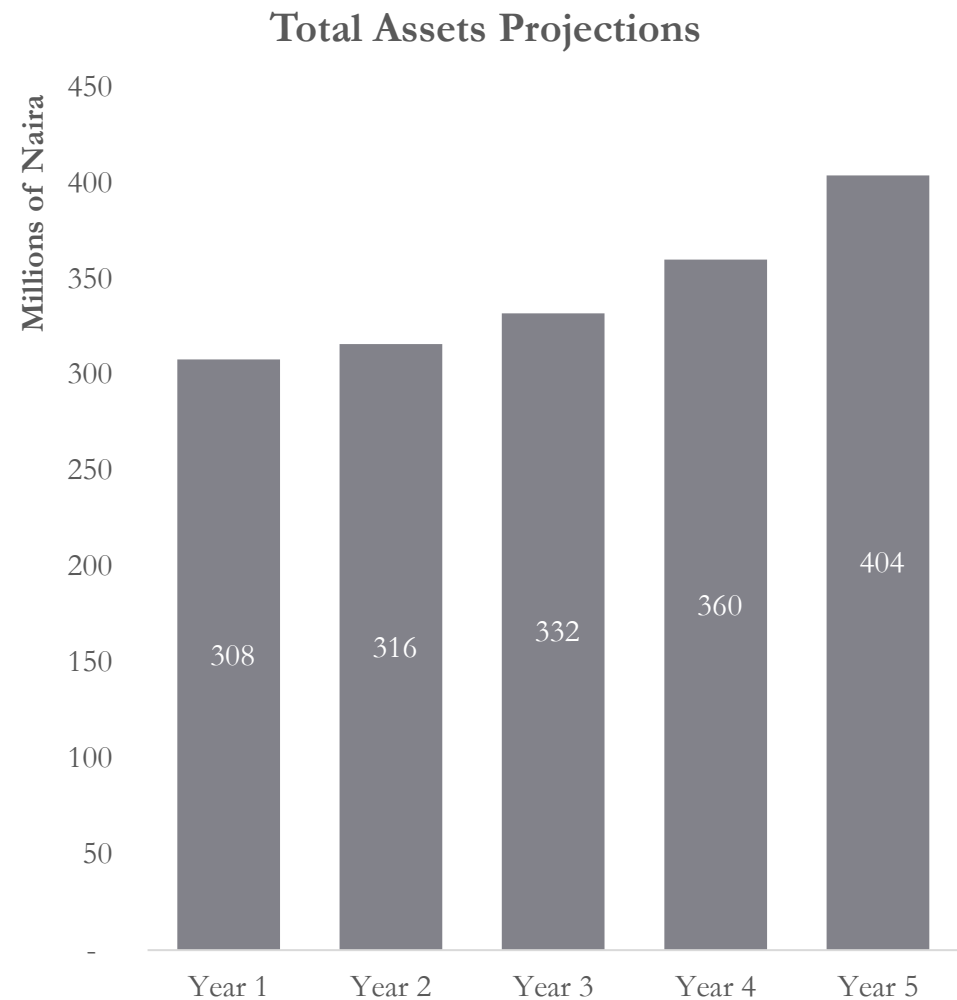
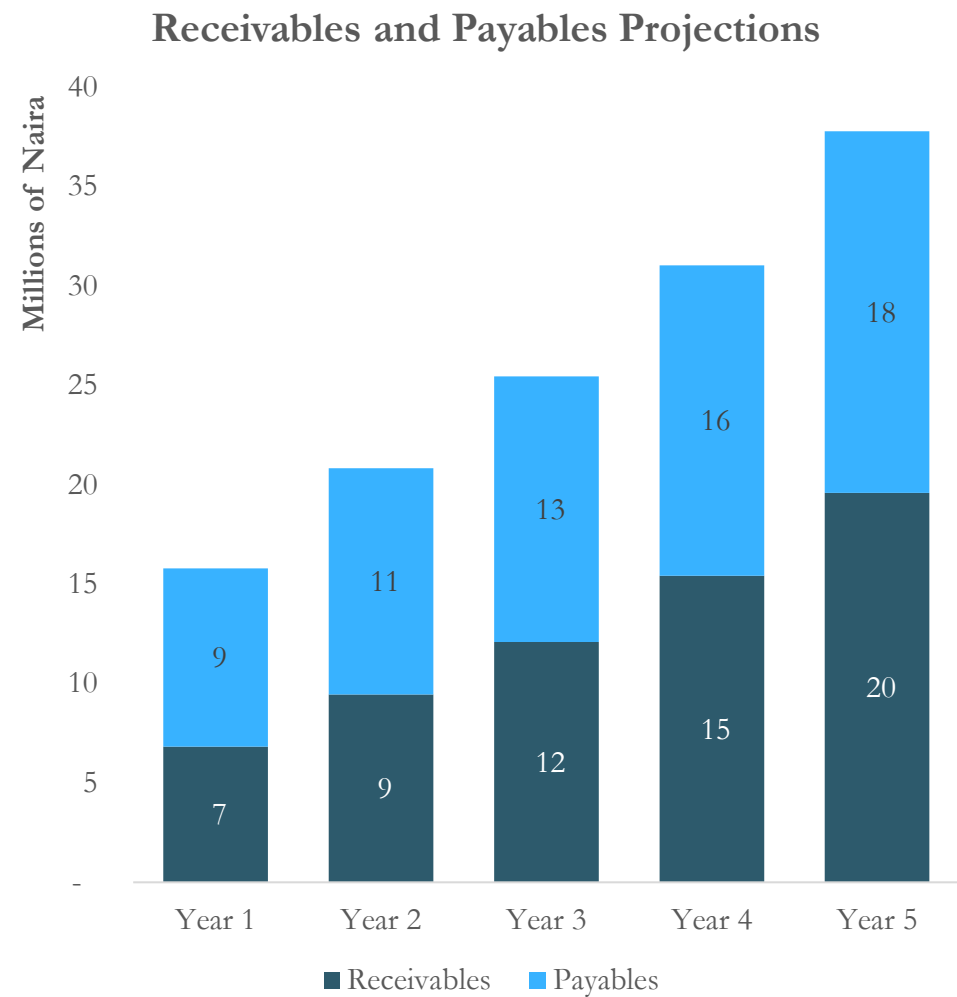
Revenue and Gross Profit Projections



Net Profit Projections



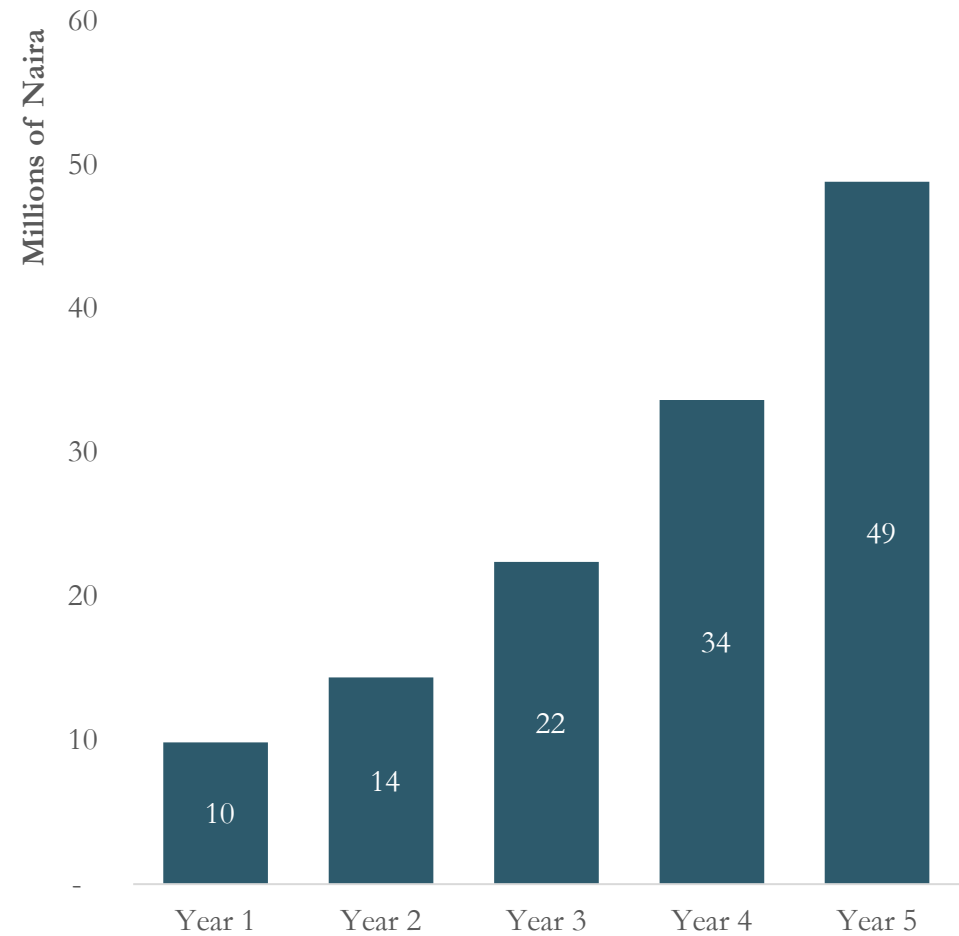
Balance Sheet Highlights



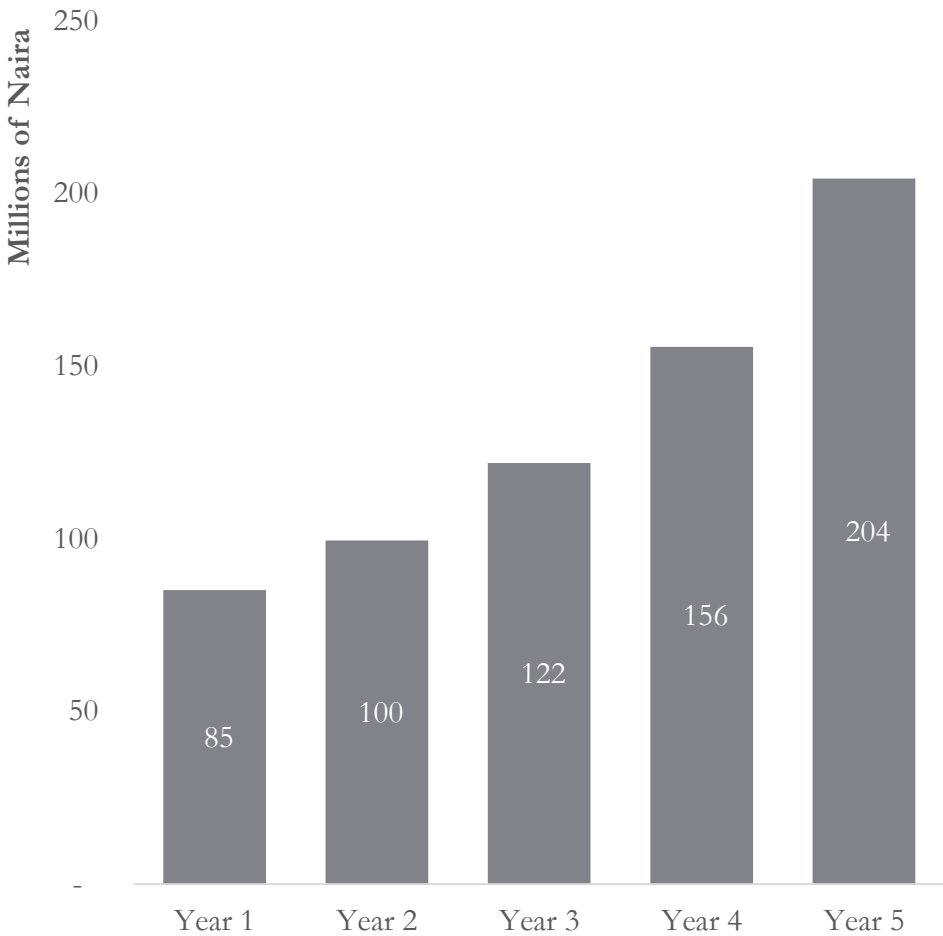


Cashflow Highlights

Cashflow from Operations Projections



Cash at the end of the Year Projections





Risk Analysis

Identified regulatory and market possible risks with appropriate mitigation strategies will assist Specxs Care Ltd in navigating its challenges and positioning itself for long-term success in the healthcare sector.

Possible risks	Risk analysis	Mitigation strategy
1 Regulatory risks	This involve challenges related to obtaining approvals, meeting compliance standards, and adapting to changes in healthcare regulations.	▪ Maintain close communication with regulatory authorities to stay updated on changes in regulations and expedite approval processes. ▪ Diversify regulatory strategies by pursuing approvals from multiple regulatory agencies or regions to mitigate the risk of delays or denials.
2 Market risks	The risk stems from competitive pressures, demand uncertainty, and potential market saturation.	▪ Conduct thorough market research to understand competitors, consumer preferences, and market dynamics. ▪ Continuously monitor market trends and adjust business strategies accordingly to capitalize on emerging opportunities and mitigate risks. ▪ Diversify the customer base and product portfolio to mitigate reliance on specific market segments or products.

Risk Analysis

Identified regulatory and market possible risks with appropriate mitigation strategies will assist Specxs Care Ltd in navigating its challenges and positioning itself for long-term success in the healthcare sector.

Possible risks	Risk analysis	Mitigation strategy
3 Technology risks	This involves the threat of obsolescence, intellectual property infringement, and data security breaches.	▪ Protect intellectual property through patents, trademarks, and other legal mechanisms, and enforce rights against infringement. ▪ Invest in ongoing research and development to stay ahead of technological advancements and maintain product relevance. ▪ Foster a culture of innovation and continuous improvement within the organization to adapt to technological changes.
4 Financial risks	Managing, securing, and having access to funding for operations can be a challenge.	▪ Explore diverse funding sources, including venture capital, private equity, government grants, and strategic partnerships, to mitigate reliance on a single funding stream. ▪ Maintain strong relationships with existing investors and actively seek new investment opportunities to ensure adequate capitalization for growth and expansion. ▪ Implement pricing strategies, sales incentives, and customer retention programs to maintain a steady revenue stream.

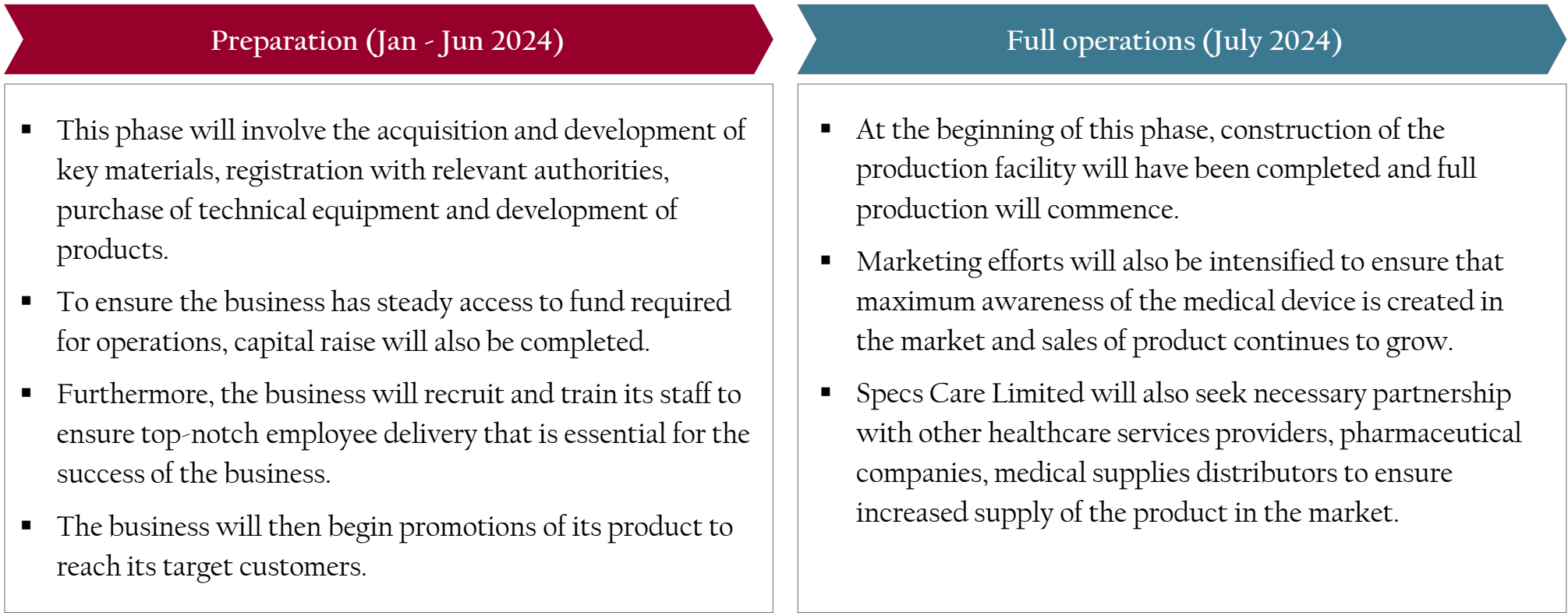
Implementation Plan

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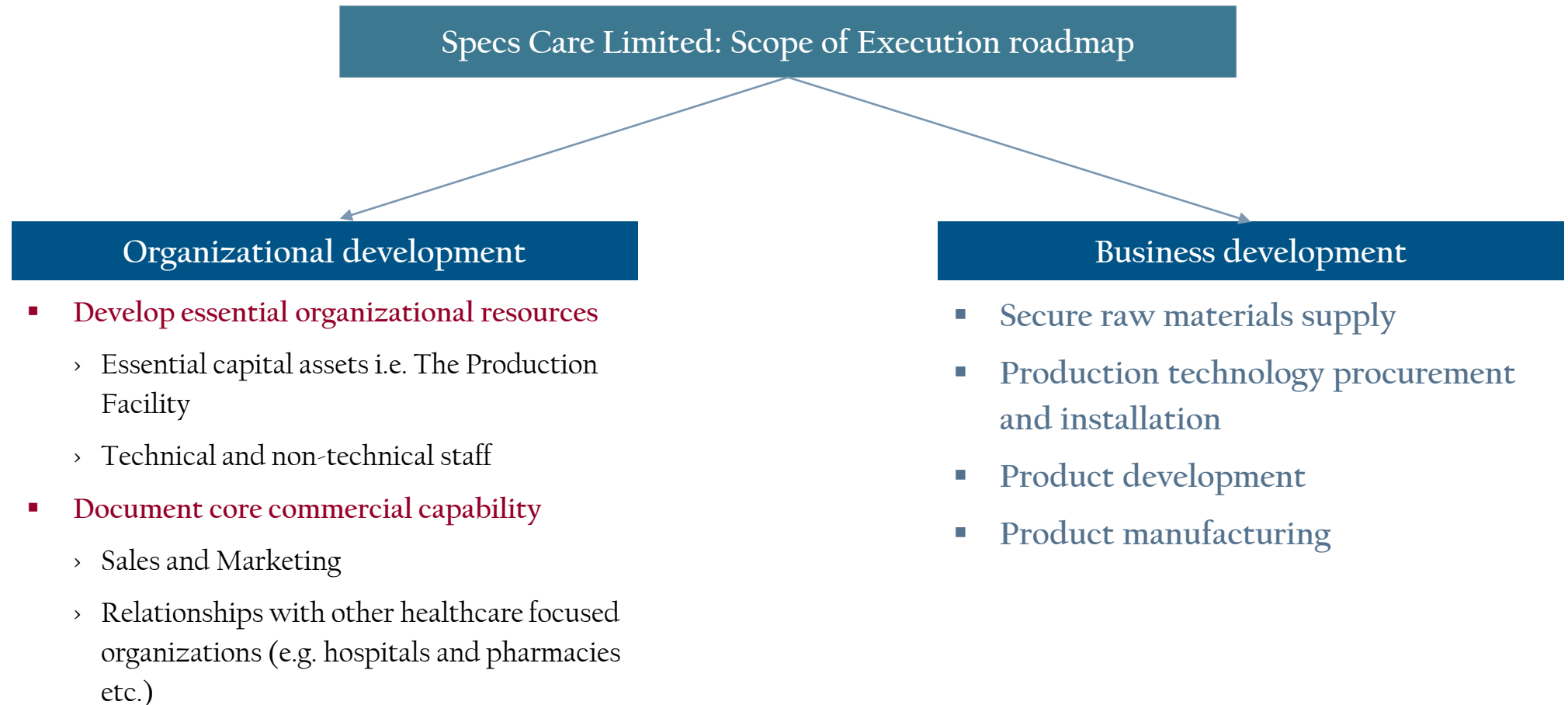
Implementation Phases for Specxs Care Ltd

Go-To Market Strategy

Smart Bladder’s operational launch and business plan will be executed across two time horizons



Specxs Care Limited – Smart Bladder Execution Roadmap





Specxs Care Limited – Smart Bladder Indicative Timeline

	Months											
Activities/Months	1	2	3	4	5	6	7	8	9	10	11	12
Development activities												
Secure production site												
Secure necessary approvals												
Capital raise												
Production facility set-up												
Technology procurement and installation												
Operating activities												
Sales and marketing												
Training and staff development												
Full Operations												

